

Okta, Inc. (NASDAQ: OKTA)

Rating: BUY | Target: \$98.97 (Base) / \$184.76 (Bull)

The market is pricing Okta as a low-growth identity vendor losing share to Microsoft. That framing misses the core driver: the number of identities being managed. That number is about to expand materially as non-human identities scale, and the expansion lands directly into an existing installed base of 19,000+ organizations already running Okta infrastructure. Okta is an independent identity platform securing workforce identity via the **Okta Platform** and customer identity via **Auth0**, with 7,000+ pre-built integrations and no allegiance to any hyperscaler.

98% subscription revenue. Billings collected upfront, so FCF consistently exceeds EBIT. FY2026: \$2.92B revenue (+12%), \$863M FCF (30% margin), **\$235M GAAP net income**. Rule of 40 every year since IPO. One of the few GAAP-profitable large-cap cybersecurity companies. That combination is at the center of the mispricing.

Trading Information	
Ticker	OKTA (NASDAQ)
Date	April 10, 2026
Share Price	\$62.93
52-Week Range	\$68.77 – \$127.57
Market Cap	~\$11.6B
Net Cash	~\$2.4B
P / FCF (FY26A)	13.5x
EV / NTM Revenue	~2.9x
Price Targets	
Bear	\$50.80 (19.3%)
Base	\$98.97 +57.3%
Bull	\$184.76 +193.6%

Variant Perception

The market is counting human identities. The correct denominator is human plus non-human. At 2.9x NTM revenue, the stock prices in perpetual single-digit growth and structural share loss to Microsoft. That framing is wrong on its most important assumption. The number of identities Okta manages is about to expand materially as non-human identities scale alongside AI deployment. That expansion lands directly into the existing install base, on infrastructure already deployed. The base case does not need AI to work. If it shows up, the numbers change meaningfully.

Investment Thesis

- **The business generates \$863M of annual FCF and the market is not paying for it**

FY2026: \$863M FCF (~30% margin), \$235M GAAP net income, Rule of 40 every year since IPO, \$2.4B net cash, \$3B+ NOL carryforwards. Management launched a \$1B buyback in January 2026 and began purchasing immediately. At \$62.93, the stock trades at 14.4x FY2027E UFCF. CrowdStrike is at 103.9x. Palo Alto at 52.0x. Okta is one of the few GAAP-profitable large-cap cybersecurity companies and carries the lowest FCF multiple by a wide margin.

The FY2027 FCF guidance step-down from 29% to 27–28% is a capital structure decision, cash settlement of remaining convertible notes and lower interest income from the buyback reducing the cash balance. This reflects reported FCF. Unlevered FCF shows a larger temporary step-down due to the same dynamics. The underlying UFCF trajectory is intact. At current price, \$863M of annual FCF costs ~\$11.6B. That is a 7.4% FCF yield on a double-digit grower with expanding margins and net cash.

- **Independence is the product — every platform consolidation move makes it more valuable**

PANW paid \$25B for CyberArk. Each consolidation move by a platform vendor raises the value of an independent identity layer. Entra is Azure-native and structurally disadvantaged in multi-cloud environments, which is where enterprise AI deployments run. Okta's pitch, "we compete with nobody's product roadmap," gets more credible with every acquisition.

The GSI channel confirms the moat is widening, not narrowing. On the Q4 FY2026 call, Todd McKinnon noted that Accenture, Deloitte, and KPMG are recommending Okta as the foundational identity layer for the agentic enterprise because every other identity company is also trying to sell a platform or development kit. Channel partners were in 18 of the top 20 Q4 deals. AWS Marketplace TCV grew by over 45% to ~\$750M. The enterprise stickiness is real: 97% gross retention across 5,100 accounts averaging \$560K ACV.

- **AI agents expand the TAM into the existing install base at near-zero marginal cost**

This is upside to the base case, not the foundation. The base case does not require AI to justify valuation; AI primarily drives the FY2029 acceleration.

By early 2026 the ratio of non-human identities to human users at enterprises had reached 144:1. Most organizations have no governance strategy for those identities. When Okta's AI agent products appeared in Q4 deals, the average contract saw a 40% uplift across the full contract value. The uplift is driven by non-human identity seats priced as a multiplier on existing human licenses, incremental revenue layered onto existing enterprise contracts with no new deployment required. Brett Tighe was explicit on the Q4 call: AI agents will show up in cRPO before revenue, and the opportunity is accretive to growth in FY2028 and FY2029. Incremental agent seats land inside 5,100+ existing enterprise accounts on infrastructure already deployed, at near-zero marginal cost. At \$560K average ACV, a 10% seat expansion generates over \$285M of incremental high-margin ARR.

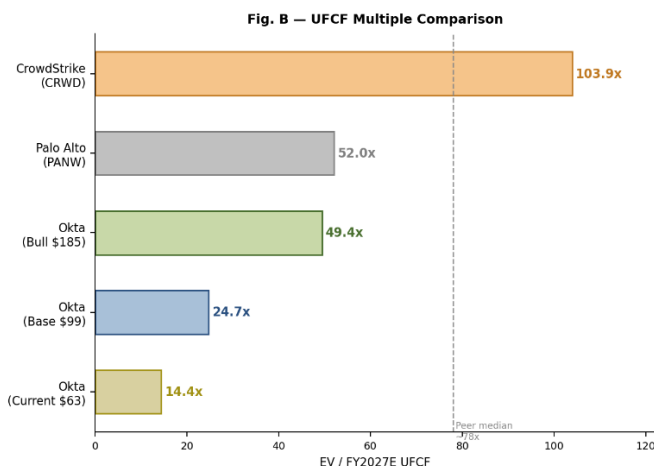
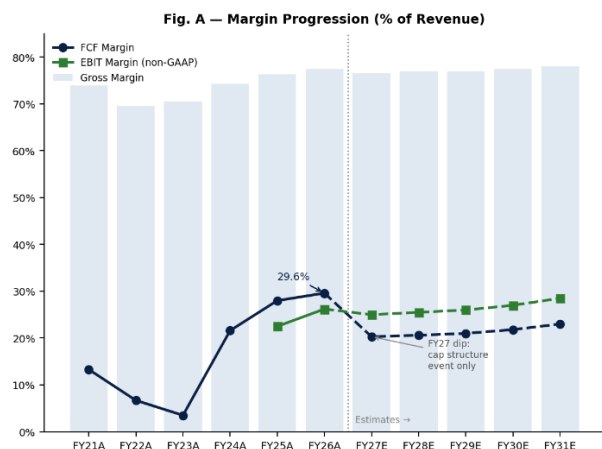


Fig. A: FY27E FCF dip reflects capital structure, not business deterioration. Fig. B: Okta trades at a substantial discount to peers despite improving profitability.

Valuation

Five-year unlevered FCF DCF. Revenue built bottoms-up from customer count times ACV per customer, every dollar of re-acceleration has a mechanical driver. WACC 10% (beta 1.2, Rf 4.3%, ERP 5.5%). Terminal growth rate 4%: identity is non-discretionary infrastructure that compounds with every application and AI agent an enterprise runs. Net cash adds ~\$13/share. The model assumes near-term NRR compression to ~103% before recovering as enterprise expansion stabilizes.

	Rev Yr1	Rev Yr3	Rev Yr5	EBIT Yr5	WACC	TGR	Implied Px
Bear	6%	7%	7%	20%	11%	3%	\$50.80
Base	8.8%	14.6%	12%	28.5%	10%	4%	\$98.97
Bull	12%	18%	15%	33%	8.5%	4.5%	\$184.76

The base case requires 12% revenue CAGR, exactly what FY2026 delivered. Nothing heroic. The disconnect persists because investors are anchoring to decelerating growth rather than forward ACV expansion embedded in the model. The bear requires two independent catastrophic outcomes simultaneously. Entra wins enterprise identity and the GSI transition permanently impairs direct sales. Neither has occurred. NRR is 106%, large deal count grew, and Okta closed a record \$1.3B in total contract value in Q4. The bull is the outcome if agentic AI becomes commercially material by FY2029, which Brett Tighe said explicitly he expects.

At \$99 base case, Okta trades at 24.7x FY2027E UFCF. A substantial discount to CrowdStrike and a meaningful discount to Palo Alto. Okta is GAAP profitable and trades at a material discount to peers despite similar or improving profitability. The narrative has not caught up to the numbers.

Risks (ranked by severity)

1. Microsoft Entra bundling: The primary risk. Entra is compressing the sub-\$100K ACV mid-market, mid-market is conceded and reflected in flat FY2027 customer growth assumptions. The question is whether Entra closes the feature gap at large enterprise scale in multi-cloud environments where its Azure-native architecture is a disadvantage. Management reported no material change in competitive behavior in enterprise on the Q4 call. The model assumes Microsoft pressure remains contained to mid-market and does not structurally impair enterprise expansion. **Kill trigger: NRR below 103% for two consecutive quarters. Signals installed base contraction. Exit the position.**

2. GSI partner transition: Deliberately shifting professional services to Accenture, Deloitte, and KPMG creates ~1 point of revenue headwind in FY2027. Risk is the ramp takes longer than guided, suppressing net new ARR. The headwind laps by FY2028 regardless. Q1 FY2027 cRPO is the first clean read. GSI partners attended Okta's annual sales kickoff for the first time, a tangible signal of mutual commitment.

3. Agentic AI timing: The ACV inflection to 7.5% by FY2029 requires AI agent identity showing up in enterprise renewals at scale within three years. Direction is not in question. Timing is. If agentic identity does not land commercially by FY2029, the base case degrades to a 9–11% grower, still produces upside, bull case disappears. The base case does not require AI to justify valuation; AI primarily drives the FY2029 acceleration.

Catalysts

Q1 FY2027 earnings (May 28): cRPO guided +10% YoY. Q4 FY2026 cRPO grew 12% versus guided 9%, fourth consecutive beat. Subscription revenue is guided +10%, faster than total, because professional services is deliberately declining from 2% to 1% of revenue.

The 9% headline understates the core business. A cRPO beat breaks the deceleration narrative and forces a re-rate. Brett Tighe was explicit: AI agents show up in cRPO before revenue. Every FY2027 cRPO beat is a leading indicator of FY2028 and FY2029 re-acceleration.

GSI flywheel closing: The professional services transition suppresses FY2027 revenue by ~1 point and laps completely in FY2028. Partner-led deals run larger and close faster than direct sales. 18 of top 20 Q4 deals had channel involvement, AWS Marketplace TCv 45%. When the ramp completes, the model shows revenue growth re-accelerating from 8.8% in FY2027 to 10.9% in FY2028 and 14.6% in FY2029 as partner-led ACV compounds.

Points of Contention

Why is growth only 9%? Subscription is guided +10%, faster than total. The 1-point gap is the deliberate GSI transition compressing professional services. cRPO beat guidance for the fourth consecutive quarter. 9% is a floor, not a ceiling, and it laps in FY2028.

Why does Microsoft not win? Entra is Azure-native. 87% of enterprise customers run multi-cloud. The mid-market is conceded and reflected in flat FY2027 customer growth assumptions. Enterprise is sticky: 97% gross retention, \$560K average ACV, 7,000+ integrations deepening with every deployment. Management said on the Q4 call there is no material change in competitive behavior in enterprise transactions.

Why is AI not in the numbers yet? Products launched at the start of Q4 FY2026. This is the right moment to build, not after the numbers appear. The base case at \$99 requires zero AI contribution. If it lands, FY2028 and FY2029 become materially different numbers.

What is being missed? The 103% NRR trough is the most aggressive assumption. If gross retention cracks rather than just slowing expansion, the math changes. Two consecutive quarters below 103% is the kill trigger. It has not happened. The \$3B+ NOL carryforward makes the modeled 21% tax rate conservative, near-term FCF is likely higher than the model shows.

Why now? Two overhang narratives have cleared. The 2023 breach and the DOGE federal churn narrative were both one-time events and are now behind the company. Gross retention held at 97% through and after the breach, NRR troughed and stabilized, and Okta has since invested materially in its own security infrastructure. The customer base did not leave. What replaced them is Rule of 40 every year since IPO, record FCF, record total contract value in Q4, and two AI products in market as enterprise demand for agentic AI governance accelerates. The stock is ~51% below its 52-week high. The business just delivered its best year.

Financial Summary & Projections

(\$M unless noted)	FY21A	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY31E
Income Statement								
Revenue	835	1,300	1,858	2,263	2,610	2,919	3,177	5,116
YoY Growth	—	55.7%	42.9%	21.8%	15.3%	11.8%	8.8%	12.0%
Gross Margin	73.9%	69.5%	70.6%	74.3%	76.3%	77.4%	76.5%	78.0%
EBIT (non-GAAP)	—	—	—	—	587	766	794	1,458
EBIT Margin	—	—	—	—	22.5%	26.2%	25.0%	28.5%
Net Income (GAAP)	(266)	(848)	(815)	(355)	28	235	~190	~520
Cash Flow								
Unlevered Free Cash Flow	111	87	65	489	730	863	~645†	~1,180
UFCF Margin	13.3%	6.7%	3.5%	21.6%	28.0%	29.6%	20.3%†	23.0%
FCF / Share	\$0.87	\$0.59	\$0.41	\$2.99	\$4.17	\$4.81	~\$3.49	~\$6.38
Operating KPIs								
Customers >\$100K ACV	1,950	3,100	3,930	4,485	4,800	5,100	5,400	7,025
Net Revenue Retention	121%	124%	120%	111%	107%	106%	103%‡	~108%
cRPO (\$B)	0.84	1.35	1.68	1.95	2.25	2.51	~2.75	—

† FY27E reflects UFCF; guided reported FCF margin 27–28%. ‡ NRR trough conservative; recovery to ~108% by FY2029 as AI agent identity expands. ~\$3B+ NOLs shield cash taxes below modeled 21%. Blue column = FY26A most recent actual.

Initiating **LONG** at \$62.93. Base \$98.97 (+57.3%). Bull \$184.76 (+193.6%). Bear \$50.80 (-19.3%) requires two independent catastrophic outcomes simultaneously. Neither has occurred. Okta is the last independent identity platform at scale generating \$863M of annual FCF on a net-cash balance sheet while the market prices it for permanent decline. **The denominator is about to change. The multiple has not moved. The market is underwriting a static identity market. That assumption is wrong. Not asking for a premium. Asking for less of a discount.**